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WHAT IS PAN?

Permanent Account Number (PAN) is a ten-digit alphanumeric number, issued in the form of a laminated card or e-PAN, by the Income Tax Department, to any "person" who applies for it or to whom the department allots the number.

PAN enables the department to link all transactions of the "person" with the department. These transactions include tax payments, TDS/TCS credits, returns of income, specified transactions, correspondence, and so on. PAN, thus, acts as an identifier for the "person" with the tax department.

PAN was introduced to facilitates linking of various documents, including payment of taxes, assessment, tax demand, tax arrears etc. relating to an assessee, to facilitate easy retrieval of information and to facilitate matching of information relating to investment, raising of loans and other business activities of taxpayers collected through various sources, both internal as well as external, for detecting and combating tax evasion and widening of tax base.

A typical PAN is AAAPA1234A.

First three characters i.e. "AAA" in the above PAN are alphabetic series running from

AAA to ZZZ

Fourth character of PAN i.e. "P" in the above PAN represents the status of the PAN holder. "P" stands for Individual, "F" stands for Firm, "C" stands for Company, "H" stands for HUF, "A" stands for AOP, "T" stands for TRUST etc.

Next four characters i.e. "1234" in the above PAN are sequential number running from 0001 to 9999.

Last character i.e. "A" in the above PAN is an alphabetic check digit.

WHY IS IT NECESSARY TO HAVE PAN?

It is mandatory to quote PAN on return of income, all correspondence with any income tax authority and on challans for any payments due to Income Tax Department.

It is also compulsory to quote PAN in all documents pertaining to the following financial transactions :-

Sl. no.	Nature of transaction	Value of transaction	Person receiving or issuing the document in relation to transaction in column (2)
1.	Making an application to any banking company or a co-operative bank to which the Banking Regulation Act, 1949 (10 of 1949), applies (including any bank or banking institution referred to in section 51 of that Act) or to any other company or institution, for issue of a credit card.	All such transactions.	(*i*) Manager or officer of a banking company or co-operative bank; or (*ii*) the principal officer of the company; or (*iii*) the principal officer of the institution, as the case may be.
2.	Opening of an account with a depository, participant, custodian of securities or any other person registered under section 12(1A) of the Securities and Exchange Board of India Act, 1992 (15 of 1992).	All such transactions.	The depository, participant, custodian of securities or any other person registered under section 12(1A) of the Securities and Exchange Board of India Act, 1992 (15 of 1992).
3.	Payment to the Reserve Bank of India, constituted under section 3 of the Reserve Bank of India Act, 1934 (2 of 1934) for acquiring bonds issued by it.	Amount exceeding Rs. 50000.	The officer of the Reserve Bank of India, constituted under section 3 of the Reserve Bank of India Act, 1934 (2 of 1934), or of any agency bank authorised by the Reserve Bank of India.
4.	Payment to a Mutual Fund for purchase of its units.	Amount exceeding Rs. 50000.	The trustee or any other person duly authorised by the trustee of a Mutual Fund.
5.	A contract for sale or purchase of securities (other than shares) as defined in section 2(h) of the Securities Contracts (Regulation) Act, 1956 (42 of 1956).	Amount exceeding Rs. 100000 per transaction.	(*i*) The principal officer of the company; or (*ii*) stock-broker, sub-broker, share transfer agent, banker to an issue, trustee of a trust deed, registrar to issue, merchant banker, underwriter, portfolio manager, investment adviser and such other intermediaries registered under section 12(1) of the Securities and Exchange Board of India Act, 1992 (15 of 1992), as the case may be.

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6.	Deposit with — (*i*) a banking company or a co-operative bank to which the Banking Regulation Act, 1949 (10 of 1949), applies (including any bank or banking institution referred to in section 51 of that Act); or (*ii*) post office.	Cash deposits aggregating to ten lakh rupees or more in a financial year, in one or more account of a person	(*i*) Manager or officer of a banking company or co-operative bank; or (*ii*) postmaster; or (*iii*) the principal officer of the institution, as the case may be.
7.	Withdrawal with — (*i*) a banking company or a co-operative bank to which the Banking Regulation Act, 1949 (10 of 1949), applies (including any bank or banking institution referred to in section 51 of that Act); or (*ii*) post office.	Cash withdrawals aggregating to ten lakh rupees or more in a financial year, in one or more account of a person	(*i*) Manager or officer of a banking company or co-operative bank; or (*ii*) postmaster; or (*iii*) the principal officer of the institution, as the case may be.
8.	Sale or purchase of — (*i*) mo to r vehicle or vehicle, as defined in section 2(28) of the Motor Vehicles Act 1988 (59 of 1988), which requires registration by a registering authority under Chapter IV of that Act, except 'tractor' as defined in section 2(44) of the said Act; or (*ii*) motor cycle as defined in section 2(27) of the Motor Vehicles Act 1988 (59 of 1988).	Amount exceeding Rs. 500000.	The person who sells the motor vehicle or motor cycle.
9.	Sale or purchase, by any person, of shares of a company not listed in recognised stock exchange.	Amount exceeding Rs. 100000 per transaction	The principal officer of a company issuing such shares
10.	Payment to a company or an institution for acquiring debentures or bonds issued by it.	Amount exceeding Rs. 50000	The principal officer of a company or an institution issuing such bonds or debentures.
11.	Purchase or sale or gift or joint development agreement by any person of any immovable property.	Amount exceeding twenty lakh rupees or valued by stamp valuation authority referred to in section 78, at an amount exceeding twenty lakh rupees.	Inspector-General appointed under section 3 of the Registration Act, 1908 (16 of 1908) or Registrar or Sub-Registrar appointed under section 6 of that Act.
12.	Opening an account other than a time-deposit referred in Sl. No. 13 and a Basic Savings Bank Deposit Account with (i) a banking company; or (ii) a co-operative bank to which the Banking Regulation Act, 1949 (10 of 1949), applies (including any bank or banking institution referred to in section 51 of that Act).	All such transactions.	(*i*) Manager or officer of a banking company or co-operative bank; or (*ii*) the principal officer of the institution, as the case may be.
13.	A time deposit with — (*i*) a banking company or a co-operative bank to which the Banking Regulation Act, 1949 (10 of 1949), applies (including any bank or banking institution referred to in section 51 of that Act); or (*ii*) a post office; or (*iii*) a Nidhi referred to in section 406 of the Companies Act, 2013 (18 of 2013); or (*iv*) a non-banking financial company which holds a certificate of registration under section 45-IA of the Reserve Bank of India Act, 1934 (2 of 1934), to hold or accept deposit from public.	Amount exceeding Rs. 50000 or aggregating to more than Rs. 500000 during a financial year.	(*i*) Manager or officer of a banking company or co-operative bank; or (*ii*) postmaster; or (*iii*) the principal officer of the company; or (*iv*) the principal officer of the institution, as the case may be.
14.	Commencement of account-based relationship with an insurer as defined in section 2(9) of the Insurance Act, 1938 (4 of 1938)	All such transactions where insurance premium exceeds Rs. 50000 during a financial year.	The manager or officer of an insurer.

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15.	Payment to (*i*) a hotel or restaurant; or (*ii*) a convention Centre; or (*iii*) a banquet hall; or any person engaged in event management, (*iv*) against a bill or bills at any one time.	Payment in cash of an amount exceeding Rs. 100000.	The person issuing the document including the bill.
16.	Sale or purchase by any person, of goods or services of any nature other than those specified at Sl. Nos. 1 to 15, if any.	Amount exceeding Rs. 200000 per transaction.	The person issuing the document including the bill.

Note:

1) Minor person can quote PAN of his father or mother or guardian provided he does not have any income chargeable to income-tax.

2) Any person, not being a company or firm who does not have PAN and enters into any of above transactions mentioned at Sl. Nos. 11 to 16, shall make a declaration in Form No-97.

PAN - LEGAL FRAMEWORK

The legal authority for allotment and use of the new series of PAN is derived from section 262 of the Income-tax Act, 2025. This section lays down the framework for PAN, e.g, who is required to apply for PAN, who else can apply for PAN, who will allot PAN, transactions where PAN is required to be quoted, use of PAN in TDS certificates and TDS returns, that one person can have only one PAN and the manner of applying for PAN.

The manner of applying for PAN is laid down in Rule 158 of the Income-tax Rules, 2026. This rule also specifies the copies of documents required to be submitted along with the PAN application (in form 93, 94, 95 or 96, as the case may be) as proof of identity, proof of date of birth/incorporation and address of the PAN applicant.

Rule 159 lists down the documents in which PAN is required to be quoted while entering into specified transactions/activities. Persons who do not have PAN are exempted from quoting PAN on furnishing a declaration in Form 97.

Penalty of Rs.10,000/- is imposable u/s 467 for failure to comply with the provisions of section 262.

Linking of PAN with Aadhar Number

As per section 262 in the Income-tax Act, 2025, it is mandatory for every person, who is eligible to obtain Aadhaar, to quote his Aadhaar number while applying for PAN or furnishing return of income.

Further, every person who has been allotted PAN, and who is eligible to obtain Aadhaar number shall intimate his Aadhaar number to the Income-tax Department. In case of failure to intimate the Aadhaar number, PAN allotted to the person shall be made inoperative.

However, a person is allowed to link his PAN with Aadhaar on payment of fee under Section 430. When a person whose PAN has become inoperative, intimates his Aadhaar after payment of fee, his PAN shall become operative.

As per Rule 162, a person shall face the following consequences if his PAN has become inoperative due to non-linking with Aadhaar. These consequences shall continue till the PAN becomes operative:

(*a*) The tax shall be deducted at a higher rate in accordance with Section 397;

(*b*) The tax shall be collected at a higher rate in accordance with Section 397;

(*c*) Refund of any amount of tax or part thereof, due under any provision of the Income-tax Act shall not be made;

(*d*) Interest on such refund shall not be payable for the period beginning with the date of commencement of this rule and ending with the date on which PAN becomes operative.

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